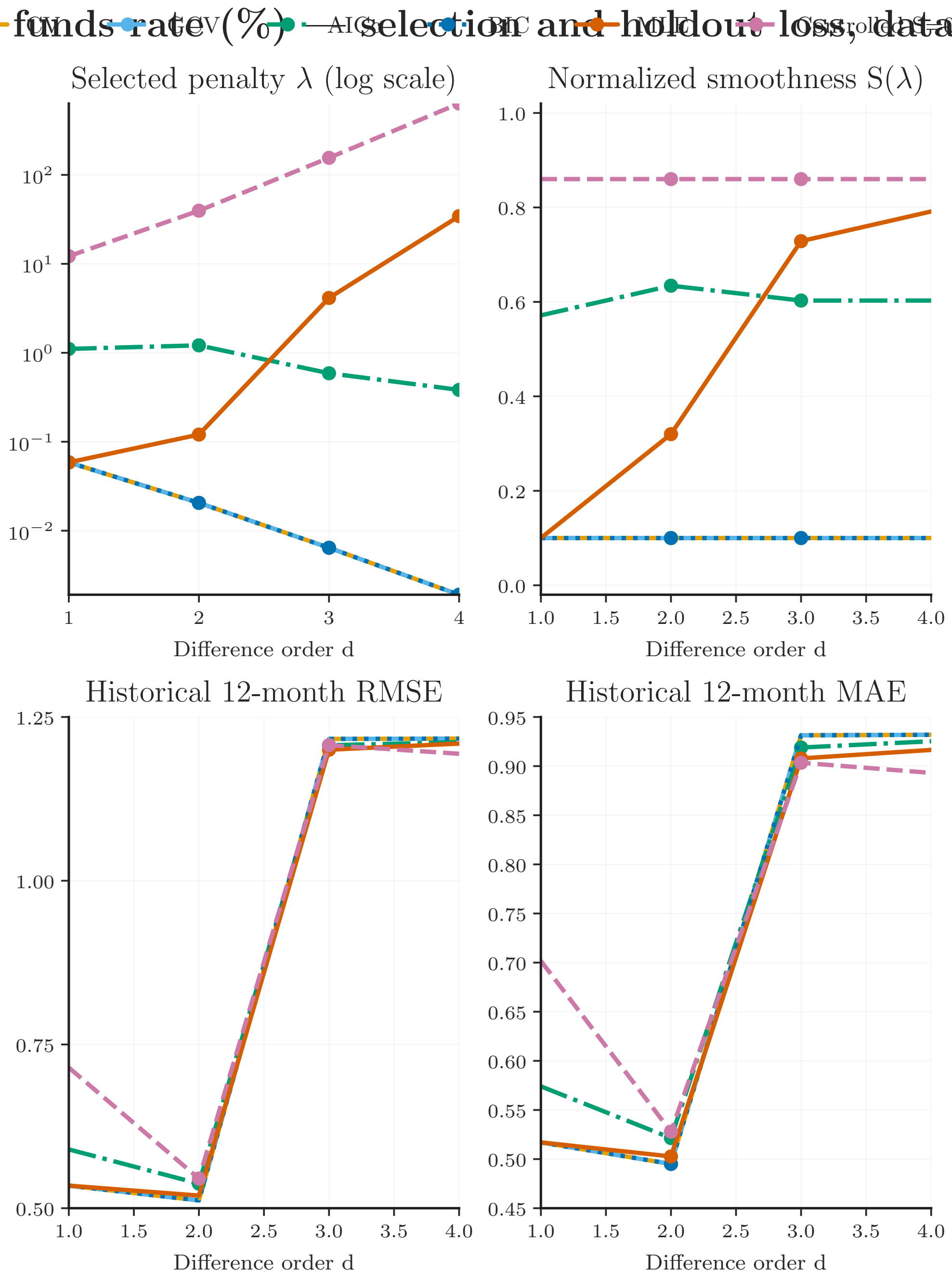
funds rate (%) selection and holdout loss, data
CV
GCV
AIC
BIC
MLE
Controlled S=
Selected penalty λ (log scale)
10^{2}
10^{1}
10^{0}
10^{-1}
10^{-2}
1
2
3
4
Difference order d
Normalized smoothness S(λ)
1.0
0.8
0.6
0.4
0.2
0.0
1.0
1.5
2.0
2.5
3.0
3.5
4.0
Difference order d
Historical 12-month RMSE
1.25
1.00
0.75
0.50
1.0
1.5
2.0
2.5
3.0
3.5
4.0
Difference order d
Historical 12-month MAE
0.95
0.90
0.85
0.80
0.75
0.70
0.65
0.60
0.55
0.50
0.45
1.0
1.5
2.0
2.5
3.0
3.5
4.0
Difference order d